



OVER THE PAST MONTH, Pankaj Gadgil has been very busy. Work has seen him spend a lot of time moving between cities. As Head of Self Employed Segment, SME and Merchant Ecosystem at ICICI Bank, he is constantly in

touch with customers and looking for ways in which he can be more relevant to them. This is in addition to the constant pressure of increasing the customer base.

Perhaps for the first time in his career, he sees a big cultural shift in SMEs (small and medium enterprises). “A lot of things are being shown with greater levels of transparency in the books. One is seeing the clear emergence of the next generation and that is a good sign,” he says. And in at least eight of every 10 entrepreneurs running family-owned businesses that he has met, the younger lot is very comfortable with the digital world. “Technology comes easily to them; and many of them—in their late 20s or early 30s—have studied overseas before taking charge of their business.”

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In many ways, this is the foundation of the SME 2.0 story in India, where digitisation and technology are the critical components. “The difference with the earlier generation is that they dealt with public sector banks, while their children speak of private banks or the fintech world,” says Gadgil. The changes taking place are rapid and in real time. He calls this a “cultural shift”, which seems rather appropriate.

D IS FOR DIGITAL

Prashant Patel, President of the Federation of Indian Micro and Small & Medium Enterprises (FISME), says SMEs have “no option but to go digital”. He recalls a time when there was a perpetual shortage of skilled manpower and proprietors ran the businesses. “One never had the required knowledge and with that came non-compliance on taxation issues,” he says. Today’s digital age is quite a contrast, though the initial phase of acclimatisation is not easy. “Owners are hesitant since they find it hard to understand technology, but

that is changing. If there is something the government can do for us, it relates to simplifying tax procedures.”

The long-term positive impact of going digital is not easy to quantify but those in the midst of it identify a few key points. Shalini Puchalapalli, Director of Google Customer Solutions, Google India, says research has shown that small merchants adopting digital technology grow twice as quickly and employ five times as many people as their peers who don’t go the digital way. “As internet adoption continues to expand, there is still much-needed headroom for deepening digitisation among small and medium businesses, especially those that address customers, who are newly connected, in non-urban locations and with a language preference,” she says. At the same time, there are businesses that have straightaway become digital payments-first. “Innovating for these merchants will be a priority going forward with many adopting app-based business models,” she adds.

Apart from Google Pay, which covers more than 10 million merchants, the company saw an opportunity in what she calls discovery. “Towards this, we launched free profiles for businesses on Google Search and Maps. Five years ago, over 68 per cent of small and medium businesses had no digital presence. Today, that number is less than 20 per cent.”

This is still the growth phase and the transition cannot be measured only in numbers, say experts. According to Akash Gehani, COO and Co-founder, Instamojo—a multi-channel payments gateway solution provider for MSMEs (micro, small and medium enterprises)—a significant part of its business comes from the smallest segment. “We deal with really small businesses, which have a turnover of less than ₹40 lakh per annum. In the past, a presence on social media through an Instagram profile was the way to do it. Then, the transition to helping them go online started to take place,” he says.

Gadgil picks out a few key indicators apart from the cultural shift in family businesses. “We are seeing the formalisation of the economy and the adoption of technology. This is not just in banking but investments are being made in sales, marketing and accounting as well,” he says. ICICI Bank has just rolled out a comprehensive open-for-all digital app for SMEs. The user just needs to download the InstaBiz app to get started. The insight

RESEARCH SHOWS SMEs ADOPTING DIGITAL TECH GROW TWICE AS QUICKLY AND EMPLOY FIVE TIMES AS MANY PEOPLE
